

Zynga's dependency on the Facebook platform

Group Case Study #2

August 14, 2026

Group 6

Daphne Olivera

Jesus Trevino Caballero

Monika Szucs

Samantha Vandenbossche

Travis Olenick

Executive summary

Zynga's meteoric rise and subsequent decline offers a cautionary tale about the perils of platform dependency in the digital economy. Founded in 2007, Zynga built its business exclusively on Facebook's platform, leveraging its social graph to achieve viral growth that propelled the company to 300 million monthly active users and an \$8.9 billion IPO valuation by December 2011. However, this symbiotic relationship masked a fundamental asymmetry: Zynga generated 100% of its revenue through Facebook, while Facebook viewed Zynga as just one of many applications on its platform. When Facebook imposed policy changes—including the mandatory Credits payment system, restrictions on viral communication channels, and eventually its own entry into game development—Zynga's player base and revenue suffered directly. The relationship reached a breaking point in November 2012, when Facebook announced it would develop its own games, causing Zynga's stock to plummet over 13% in a single day and more than 70% overall from its IPO price. Zynga's failure to diversify its distribution, build irreplaceable value, or multi-home across platforms left it with no leverage when its dominant partner's incentives shifted. This case demonstrates that building a business on another company's platform, while offering short-term advantages in distribution and growth, creates existential risk when the platform owner's incentives diverge from those of its dependent partners. The lesson for digital businesses is clear: platforms offer invaluable distribution but extract a long-term price, and sustainable success requires either owning the platform, diversifying across multiple channels, or building proprietary assets that retain value regardless of which platform dominates.

The partnership

Zynga was founded in 2007 by Mark Pincus, who built the company around social poker games for Facebook whose platform also had launched around the same time. This allowed third-party companies to build applications, including games directly on top of Facebook, tapping into its rapidly growing user base without having to build an audience from scratch. Zynga's formative years were a masterclass in leveraging network effects and its core strategy was built on creating simple, addictive games that could be easily accessed and played within Facebook's ecosystem. Which on paper looked like it could have been the best move business wise, but it came with a price, as we unfold the events. Zynga seized on this opportunity early, releasing hits like Texas Hold'em Poker and, later, FarmVille in 2009, which spread virally through Facebook's News Feed and friend networks, letting Zynga grow faster than almost any standalone gaming company could. Zynga gained access to Facebook's then-750 million users, avoiding the massive marketing costs and infrastructure investments required to build a social network from scratch. The startup capitalized on using social networks to launch free-to-play games funded by microtransactions, with a bold vision: connect the world through games and make gaming a mass-market activity. This rapid growth came at a price though, in exchange for free, built-in distribution, Zynga became deeply reliant on Facebook's rules, algorithms, and payment systems which was a trade-off that fueled its rise but also planted the seeds of the dependency problems that would follow. At its peak, Zynga reached 300 million monthly active users and, in 2011, accounted for an estimated 20% of Facebook's page views and 19% of its revenue. This financial trajectory is illustrated in Exhibit 1, which shows Zynga's revenue growing from \$121.5 million in 2009 to

\$597.5 million in 2010, while simultaneously turning a net loss of \$52.8 million into a profit of \$90.6 million.

In 2010, Facebook's policy changes began to reveal how much power it held over Zynga and the partnership that had an imbalance of power. The introduction of the Facebook Credits payment system required players to buy virtual goods through Facebook to advance in Zynga's games. Facebook took a larger cut of this revenue and limited Zynga's ability to communicate directly with its own players about their in-game activity, a change that contributed to a decline in Zynga's player base. Zynga went public in December 2011, which seemed to be thriving, at an eye-popping valuation of \$8.9 billion. At the time, this valuation put Zynga ahead of its longtime rival, Electronic Arts, a striking outcome for an early pioneer of the risky freemium model. But the cracks were already showing. In May 2012, Facebook changed its homepage navigation to favor newly installed apps, making older games harder for users to find. Zynga lost a significant share of its player base as a result, marking the start of a broader decline in web-based gaming on Facebook.

Later in 2012, Facebook announced it would begin developing its own games in 2013 which impacted Zynga directly and its stock, which had actually been rallying that day, but fell off a cliff dropping more than 13% to close at \$2.27. Altogether, Zynga's stock fell more than 70% from its IPO price. Its financial troubles raised serious concerns about the company's ability to survive given how tightly its fate was bound to a single partner. At the core of Zynga's struggles was a fundamental imbalance: Zynga needed Facebook far more than Facebook needed Zynga. This asymmetrical relationship is summarized in Exhibit 2, which contrasts Zynga's complete dependency on Facebook for revenue, distribution, and user acquisition against Facebook's control over platform rules, payment systems, and communication policies. Partnerships usually have one dominant party rather than a true codependency, where both sides need each other. Yet one holds structurally more power, has more control and it's exactly what defined this relationship. Zynga avoided the cost of building its own audience and infrastructure, but in doing so, handed much of its fate to a partner whose incentives could shift at any time and their sense of control over it was getting smaller and smaller. Karl Ulrich, an operations and information management professor at Wharton, put it in a clear yet direct way of how this partnership was unfolding: a firm entirely dependent on another firm is in a temporary position, it will likely either be acquired by that firm or be forced to diversify, because the risk that the dominant party exploits the power imbalance is simply too great (Knowledge at Wharton Staff, 2011).

Dependency risk

Why it poses a risk

Zynga's business model was built almost entirely on top of Facebook. Games like FarmVille and CityVille lived inside the Facebook platform, used Facebook's login and social graph to spread virally, and relied on Facebook credits as the payment method for in-game purchases. This gave Zynga great outcomes such as a fast, low-cost way to reach millions of users, but the downside was that the company never really owned its own distribution channel or its own relationship with its players, Facebook did.

That's the core of the risk. When a company builds its product on someone else's platform, they are essentially just renting its foundation. The platform owner controls the rules, what data you can access, how discoverable your product is, what cut of revenue they take and whether they let you operate at all. Zynga didn't have a seat at the table to make decisions. If Facebook decided to adjust the terms of service, raise its revenue share, or simply prioritize a new feature instead of gaming, Zynga would've been affected by these decisions and wouldn't have any power to its decision. Its growth, user base and revenue were all downstream decisions made by a single external partner.

This kind of dependency also invites a different kind of danger. If Facebook decides to go full into gaming, they can become your competitor. Facebook had the engineering talent, the user data, and the distribution power to build its own games whenever they wanted. This risk could take you to bankruptcy overnight. Zynga had helped prove that social gaming was a profitable business, which only made Facebook more likely to want a piece even more.

How the risk became a reality

On November 29, Zynga filed an 8-K disclosing a new agreement with Facebook that would let Facebook develop and publish its own games starting March 31, 2013, giving Facebook the right to develop its own games (Zynga Inc, 2012). This was a direct reversal of the previous arrangement that had kept Facebook out of the gaming business Zynga depended on. The market had a negative reaction to this news and had an immediate impact on Zynga's stock and dropped 13% within hours of the announcement, extending a slide that had already seen the stock lose over 70% of its value since its IPO a year earlier (Fontevecchia, 2012).

Although, this new agreement gave Zynga something in return. It was no longer required to display Facebook's ad units or use Facebook's payment system, and it gained the freedom to launch its games on other platforms rather than being exclusive to Facebook (Zynga Inc, 2012). On paper, that sounds like a step to independence. But investors read the situation as it was. Zynga was being let out the back door of a house that its biggest partner was about to compete inside of. Analysts at the time noted that Zynga's value outside of its Facebook relationship was non-existent, which tells you how little of the company's worth existed independent of the platform (Fontevecchia, 2012).

Zynga didn't lose control of its business through a bad product decision or market downturn. It lost control because the terms of its most important relationship were never fully in its own hands, and when Facebook decided to change those terms, Zynga had no real leverage to push back.

What should Zynga have done?

Zynga saw immediate success post-IPO with an \$8.9 billion valuation and was an early pioneer of the freemium model (Niu, 2012). However, Zhuo and Pace's (2021) argue that success and value are not the same thing. Evidently, Zynga optimized for the former at the expense of the latter. Zhuo and Pace state that a platform-dependent company survives long-term only by becoming "indispensable to end users" and by providing enough unique value that the platform "won't be able to live without" it. Zynga was not successful in doing that with Facebook. Its games drove engagement in Facebook's early years, but that

engagement was easily replaceable. Facebook could source it from any of dozens of other social game developers, and eventually began doing so as it opened its platform more broadly. In the case of Veeva, outlined by Zhuo and Pace (2021), their organization built domain-specific, regulatory-grade functionality for life sciences' firms that Salesforce had no ability or incentive to build itself. Zynga brought a small group of loyal consumers, but lacked sufficient value for Facebook to maintain an exclusive relationship in the long run.

Zynga also failed to build defensible value because it was unable to commit to a specific, high-value user base. Niu (2012) notes that Zynga's casual games were built to appeal broadly, but broad appeal came at a cost. Casual players are "typically less engaged and don't monetize as well," and rival Kixeye, by contrast, focused on hardcore gamers and generated roughly 20 times the revenue per user off a far smaller audience (Niu, 2012). This is the same trade-off Zhuo and Pace describe as central to becoming a value-creator rather than a volume-play, which is that value comes from depth of relationship with a defined user base, not breadth of reach. Zynga's belated acquisition of mid-core developer A Bit Lucky (Niu, 2012) was a step in the right direction, but it came only after the company's platform dependency had already left it exposed, rather than as part of a deliberate strategy to build irreplaceable value from the start.

Had Zynga invested earlier in a defined, high-engagement user segment and built a product or technology that Facebook itself couldn't easily replicate, it could have shifted the relationship from platform-dependent to value-creator. These and other strategic diversification options—including partnerships with Yahoo or Tencent, building Zynga.com as a destination site, or expanding to Google+—are summarized in Exhibit 3, along with their respective advantages and disadvantages.

Multi-homing

In platform economics, complementary products or services face extreme platform hold-up risk when single-homing on a dominant Aggregator that controls user attention and distribution (Thompson, 2017). Early in its growth, Zynga relied almost exclusively on Facebook's social graph to drive rapid user acquisition for games like FarmVille (Knowledge at Wharton, 2011). However, operating on a single host platform left Zynga vulnerable to classic platform exploitation when Facebook unilaterally changed notification algorithms to suppress viral loops, introduced competing native games, and forced a mandatory 30% tax through Facebook Credits. To protect its valuation and preserve long-term autonomy, Zynga needed to execute a proactive multi-homing strategy across multiple operational layers (Cusumano et al., 2020).

In Ben Thompson's Aggregation Theory, aggregators build power by owning user relationships, modularizing suppliers, and extracting high rents (Thompson, 2017). However, Multi-homing allows companies such as Zynga to counter this leverage by lowering switching costs and diversifying distribution (Cusumano et al., 2020). Rather than relying on a single platform, Zynga could have executed a multi-homing framework across three key vectors. First, it could have deployed games simultaneously across competing environments, such as standalone web portals, early mobile operating systems like iOS and Android, and alternative social networks, thereby reducing Facebook's leverage as a single distribution bottleneck (Cusumano et al., 2020). Second, it could have built a proprietary identity and social network architecture early in its hyper-growth phase through initiatives like

Zynga.com (Knowledge at Wharton, 2011). Capturing its own network would have allowed Zynga to transition from its dependency on Facebook into a hybrid innovation platform (Cusumano et al., 2020). Third, it could have decoupled its payment infrastructure by leveraging alternative payment rails across direct web properties, allowing it to bypass Facebook's 30% platform fee and safeguard profit margins (Knowledge at Wharton, 2011).

By multi-homing early across distribution, identity, and payments, Zynga would have significantly increased Facebook's cost of exclusion (Cusumano et al., 2020). Controlling a multi-platform user base could have given Zynga defensive counter-leverage, constraining Facebook's ability to unilaterally extract rents or rewrite ecosystem governance rules (Thompson, 2017).

Conclusion

Zynga's trajectory validates the warnings of Wharton professor Karl Ulrich, who observed that a firm entirely dependent on another occupies a temporary position—facing either acquisition or forced diversification. Despite attempts to partner with Yahoo, Tencent, or build Zynga.com as a destination site, Zynga failed to execute a timely diversification strategy. When Facebook shifted its policies and entered the gaming market, Zynga's foundation crumbled.

The company prioritized top-line growth through Facebook at the expense of building a sustainable, independent business with owned distribution channels and direct customer relationships. While the partnership fueled Zynga's early success, the asymmetry of power proved fatal.

The lesson for digital businesses is clear: platforms offer invaluable distribution but extract a long-term price. Sustainable success requires owning the platform, diversifying across multiple channels, or building proprietary assets—such as engaged user communities or unique intellectual property—that retain value regardless of which platform dominates. Zynga achieved none of these, and its decline stands as an enduring warning about the hidden costs of platform dependency.

Exhibits

The following exhibits support the analysis presented in this case study. Exhibit 1 illustrates Zynga's revenue growth and profitability trajectory during its peak years. Exhibit 2 summarizes the asymmetrical power dynamic between Zynga and Facebook. Exhibit 3 outlines the strategic diversification options available to Zynga and their respective trade-offs.

Exhibit 1: Zynga's Revenue and Net Income (2009-2010)

Year	Revenue	Net Income (Loss)
2009	\$121.5M	(\$52.8M)
2010	\$597.5M	\$90.59M

Source: Knowledge at Wharton Staff, "Is Zynga's Dependence on Facebook the Key to Its Success — Or Its Downfall."

Exhibit 2: The Asymmetrical Power Dynamic

Zynga's Dependency Facebook's Leverage

Relied on Facebook for 100% of revenue and players. Zynga was one of many large applications.

Could not distribute its top games on other platforms (contractual lock-in). Set terms of engagement and payment systems (e.g., Facebook Credits).

Access to social graph and viral growth was controlled by Facebook. Controlled user access and communication policies, impacting growth.

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Source: Adapted from Knowledge at Wharton Staff, "Is Zynga's Dependence on Facebook the Key to Its Success — Or Its Downfall."

Exhibit 3: Strategic Diversification Options for Zynga

Option	Advantages	Disadvantages
Partner with Yahoo	Opened new distribution channel.	Platform lacked social graph and viral growth potential.
Partner with Tencent	Access to a massive, blocked (by FB) market (China).	Complex cultural and business environment; long-term investment.
Build a Destination Site	Full independence; owns customer relationship.	Requires massive investment; shift in business model; high risk.
Expand to Google+	Potential access to a large, competitive social network.	Remains platform-dependent ("parallel monopoly" risk).

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